



FUNDAMENTALS OF ACCOUNTING

PRC – 01



ICAP EXAM FEEDBACK

QUESTIONS JANUARY, 2026

COMPILED BY:

Fundamentals of Accounting Team

Ch – 1 Accounting Basics

1. Which of the following statement(s) is /are true?
 - (i) financial statements assume that business is a separate entity from its owners.
 - (ii) the entity concept is applied on sole proprietor and partnerships.
 - a) (i) is correct
 - b) (ii) is correct
 - c) Both are correct**
 - d) None is correct
2. Amount owed by business to another party is called
 - a) Prepayment
 - b) Liability**
 - c) Asset
 - d) Expense
3. Which principle requires anticipated losses to be recognized?
 - a) Consistency
 - b) Prudence**
 - c) Duality
 - d) Going concern
4. Why are current and non-current liabilities presented separately in the statement of financial position?
 - a) To distinguish short-term payment obligations from long-term financial commitments**
 - b) To calculate total profit for the year
 - c) To determine the total amount of assets available
 - d) To identify the cash balance at year end
5. Which one of the following is not a business transaction?
 - a) A person started a business by borrowing Rs. 10,000 from his father
 - b) A purchase order sent by a customer to a supplier worth Rs. 170,000**
 - c) Payment of office rent in cash by owner from his personal cash
 - d) Purchase of goods on credit for personal use of owner
6. An asset had a list price of Rs. 3 million but was purchased after trade discount for Rs. 2.5 million in cash. How will this transaction affect the statement of financial position?
 - a) Increase in asset Rs. 2.5 million and increase in capital Rs. 2.5 million
 - b) Increase in asset Rs. 3 million and decrease in cash Rs. 3 million
 - c) Increase in asset Rs. 2.5 million and decrease in cash Rs. 2.5 million**
 - d) Increase in asset Rs. 3 million and increase in capital Rs. 3 million
7. Which TWO of the following transactions cause immediate change in equity?
 - a) Delivery truck bought on credit
 - b) Borrowing from bank @12%
 - c) Repayment of loan from personal cash to save interest expense**
 - d) Write-down of inventory to NRV**

8. A liability is classified as current liability if:
- a) It will be paid out of current assets
 - b) It is payable within one year or the normal operating cycle, whichever is longer**
 - c) If entity has right to defer settlement for at least 12 months
 - d) It is payable within one year or the normal operating cycle, whichever is shorter
9. The matching concept matches:
- a) Assets with liabilities
 - b) Income with expenses**
 - c) Capital with reserves
 - d) Expenses with capital
10. Which TWO transactions affect both assets and liabilities at the same time?
- a) Purchase of office furniture on credit**
 - b) Repayment of principal loan**
 - c) Credit sale of goods
 - d) Receipt of cash from a customer
11. Which TWO of the following are not part of a complete set of the financial statement?
- a) Notes to financial statement
 - b) Statement of financial position
 - c) Director report**
 - d) Auditor report**
12. Which of the following statements will not have an impact on business?
- 1. Goods purchased on cash were returned to the supplier.
 - 2. Owner purchased furniture for personal use on personal credit.
- a) Only 1
 - b) Only 2**
 - c) Both are correct
 - d) None is correct
13. Purchase has been recorded for goods not yet paid.
Identify the accounting concept/principle on which the above statement is based:
- a) Accrual**
 - b) Prudence
 - c) Materiality
 - d) Consistency
14. In case of uncertainty, caution should be exercised while preparing financial statements in order to avoid overstatement of net assets and net income.
Identify accounting concepts/principles on which the above statement is based
- a) Materiality
 - b) Prudence**

- c) Business entity concept
 - d) Accrual concept
15. Sales are recorded although cash their-against is yet to be received from the customers. Identify accounting concepts on which the above statement is based
- a) Prudence
 - b) Accruals**
 - c) Materiality
 - d) Consistency
16. Which of the following entries will decrease owner's equity?
- a) Payment of expenses**
 - b) Payment of assets on credit
 - c) Repayment of loan
 - d) Purchase of motor vehicle on cash.
17. 30% of the total assets of Akbar Traders have been financed by Liabilities. *(30% of total assets are equal to total liabilities)* The total liabilities of the business are Rs. 600,000. What is the amount of owners' equity?
- a) Rs. 1,800,000
 - b) Rs. 2,000,000
 - c) Rs. 2,600,000
 - d) Rs. 1,400,000**
18. At year end 31 December 2022, capital of a business was Rs. 40,000. During the year profit earned by the business was Rs. 20,000 and drawings were Rs. 10,000. You are required to determine the capital of the business at the start of year i.e. 1 January 2022.
- a) Rs. 30,000**
 - b) Rs. 70,000
 - c) Rs. 20,000
 - d) Rs. 10,000
19. Which two of the following transactions will affect the assets and liabilities of the business at the same time?
- a) Purchase of office furniture on credit**
 - b) Credit sale of goods
 - c) Receipt of cash from customer
 - d) Repayment of principal amount of a loan**
20. Mehmood return goods to Indus Traders which he bought on credit. How is this recorded in Mehmood's books?
- a) Accounts receivable Dr, sales return Cr
 - b) Sales return Dr, Accounts receivable Cr
 - c) Purchase return Dr, accounts receivable Cr
 - d) Accounts payable Dr, purchase return Cr**

Ch – 2 Books of prime entry

1. Which of the following statement is correct with reference to settlement discount received from suppliers?
 - a) It is recognised as reduction of revenue
 - b) It is recognised as operating expense of the business
 - c) It is recognised as reduction in cost of purchase**
 - d) No entry required
2. Cheque received from customer is dishonored, what will be double entry?
 - a) Dr. Receivable; Cr. Bank**
 - b) Dr. Bank; Cr. Receivable
 - c) Dr. Payable; Cr. Bank
 - d) Dr. Bank; Cr. Receivable
3. Which of the following document should be source document to record the purchase?
 - a) Purchase requisition
 - b) Purchase voice**
 - c) Purchase order
 - d) Goods receipt note
4. Which of the following is a source document for petty cashbook?
 - a) Petty cash voucher**
 - b) Petty cash receipt
 - c) Invoices
 - d) Bills
5. A business is offering an early settlement discount to customers. In which TWO of the following situations is the revenue required to be recorded at the full (gross) amount at the time of sale?
 - a) The customer is not expected to pay early and does not pay early as expected.**
 - b) The customer is expected to pay early and pays early as expected
 - c) The customer is not expected to pay early but pays early**
 - d) The customer is expected to pay early but does not pay early
6. Goods were sold for Rs. 200,000 on 12 February 2025. A settlement discount of 10% is allowed if the customer pays within 20 days. The customer paid on 25 February 2025. What amount should be recorded on 12 February in the sales day book?
 - a) Rs. 180,000
 - b) Rs. 200,000**
 - c) Rs. 220,000
 - d) Rs. 190,000
7. ABC & Co. sold goods on credit to a customer. The invoice amount recorded in receivables was Rs. 200,900, assuming that the customer would not avail a 2% cash discount.

However, the customer paid within the discount period and availed the 2% discount.

Which of the following journal entries should be recorded to settle the receivable?

- a) Dr Cash Rs. 200,900
Cr Trade Receivable Rs. 200,900
 - b) **Dr Cash Rs. 196,882**
Dr Cash Discount Rs. 4,018
Cr Trade Receivable Rs. 200,900
 - c) Dr Trade Receivable Rs. 200,900
Cr Cash Discount Rs. 4,018
Cr Cash Rs. 196,882
 - d) Dr Cash Rs. 200,900
Cr Cash Discount Rs. 4,018
Cr Trade Receivable Rs. 196,882
8. The books of prime entry are best defined as those in which:
- a) debit and credit rules do not follow
 - b) memorandum ledger accounts are prepared
 - c) Subsidiary ledger accounts are prepared
 - d) Entry is made for the first time through source document**
9. What is the definition of trade discount?
- a) The definite price reduction given to customer at the time of sales transaction.**
 - b) The discount offered to persuade customers to pay earlier
 - c) The discount given to customer at the time of payment.
 - d) All of these
10. Which of the following is a source document that would be entered into the accounting system?
- a) Purchase order
 - b) Debit note
 - c) Sales order
 - d) Credit note**
11. Ali Distributors (AD) sold goods worth Rs. 15,000 to Bilal Wholesalers (BW) on 12 September 2025, with payment due on 30 September 2025. A 5% cash discount was offered if BW paid within 7 days. AD expected that BW would avail the discount but BW actually paid on 30 September 2025. What is the correct accounting treatment in AD's books?
- a) Record sales at Rs. 15,000 on 12 September and receive Rs. 15,000 on 30 September with no adjustment
 - b) Record sales at Rs. 14,250 on 12 September and recognize Rs. 750 as discount income on 30 September
 - c) Record sales at Rs. 15,000 on 12 September and treat Rs. 750 as discount allowed on 30 September
 - d) Record sales at Rs. 14,250 on 12 September and record additional sales of Rs. 750 as Sales on 30 September**
12. Which of the following is correct?
- (I) Goods dispatch note is sent by the business along with the dispatch of goods
 - (II) An item should be requisitioned first if not lying in the stock.
 - a) Only I
 - b) Only II**

- c) Both are correct
- d) Both incorrect

13. Which of the following is recorded in general Journal?

- a) Purchase of machine on credit**
- b) Sale of machine on cash
- c) Purchase of machine on cash
- d) Purchase of goods on cash

14. Which of the following statements is/are correct?

- (I) Debit note issued are initially recorded in purchase day book.
- (II) Sales invoices are recorded in sales day book.

Select the most appropriate answer:

- a) Only (I) is correct
- b) Only (II) is correct**
- c) Both are correct
- d) None is correct

15. Which of the following statements is/are correct?

- (I) Debit note issued or credit note received are recorded in same BOPE.
- (II) Credit note is issued by customer and debit note is issued by supplier.

Select the most appropriate answer:

- a) Only (I) is correct**
- b) Only (II) is correct
- c) Both are correct
- d) None is correct

16. Which of the following is not a source document?

- a) Sale invoice
- b) Purchase invoice
- c) Statement issued to customer**
- d) Copy of cheque paid to supplier

17. Discount received is recognized as:

- a) Reduction from purchases in SOCI**
- b) Expense in profit or loss statement
- c) Deduction in purchase day book
- d) None of the above

18. Which of the following is correct?

- (i) Purchase order is issued by seller to buyer.
- (ii) When an invoice is received from a supplier, it should be checked with goods received note.

Select the most appropriate answer:

- a) Only (i) is correct
- b) Only (ii) is correct**
- c) Both are correct
- d) None is correct

19. Which of the following statements are correct?

- (i) Purchase order is issued by seller to buyer.
- (ii) Invoice received should be checked with goods received note.
- a) Both statements are correct
- b) Only (i)
- c) Only (ii)**
- d) Neither

20. BTL purchased goods for Rs. 1,000,000 on credit from SPL on 5 December. A settlement discount of 5% was available if payment was made within 10 days. On 12 December, BTL paid Rs. 950,000 and availed the discount. The accountant recorded Rs. 950,000 in the payment side of the cash book.

What will be the correct General Journal entry to record the discount?

- a) SPL payable Dr 50,000; Purchases Cr 50,000
- b) SPL payable Dr 50,000; Discount Received Cr 50,000**
- c) Purchases Dr 50,000; SPL payable Cr 50,000
- d) No entry

Ch – 3 Ledgers and trial balance

1. Which statement is/are correct about trial balance?

- (i) Return inward have debit balance
- (ii) Trial balance is the part of book of prime entry
- a) (i) is correct**
- b) (ii) is correct
- c) Both are correct
- d) None is correct

2. A trial balance is prepared to:

- a) Prove the accuracy of transactions
- b) Check the mathematical accuracy of postings**
- c) Detect all types of errors in the books
- d) Prepare only income statement

3. If credit side is less than debit side then the result in a ledger account would be:

- a) Positive
- b) Negative
- c) debit balance**
- d) Credit balance

4. Which of the following pairs of accounts will appear on same sides of a trial balance?

- a) Capital and Drawings
- b) Purchases and Sales
- c) Trade receivables and Trade payables
- d) Cash and Bank**

5. Posting is a process of:
- a) Transfer from ledger to trial balance
 - b) Transfer from BOPE to ledgers**
 - c) Transfer from ledger to journal
 - d) Transfer from trial balance to financial statements
6. Which one of the following statements is correct?
- 1. Both opening and closing inventories are given in the trial balance.
 - 2. Income always carries a debit balance.
- a) Both statements are correct
 - b) Both statements are incorrect**
 - c) Statement 1 is correct and statement 2 is incorrect
 - d) Statement 1 is incorrect and statement 2 is correct
7. Which of the following items normally appear on the same side of the trial balance?
- a) Drawings and Purchases**
 - b) Capital and Cash
 - c) Sales and Returns inward
 - d) Discount allowed and Discount received

8. Which of the following statements are correct?

- (I) Purchase account is part of the purchases ledger
- (II) Total of purchases day book is posted to the credit side of purchase account.

Select the most appropriate answer:

- a) Only (I) is correct
 - b) None is correct**
 - c) Both are correct
 - d) Only (II) is correct
9. Which of the following statement is/are correct regarding trial balance?
- (i) Trial balance is not a book of prime entry.
 - (ii) The trial balance is starting point to prepare financial statements
- a) Only (i) is correct
 - b) Only (ii) is correct
 - c) Both are correct**
 - d) None is correct
10. The periodic total from purchase journal is posted to:
- a) Credit side of individual supplier account
 - b) Debit side of individual supplier account
 - c) Credit side of purchases account in General Ledger
 - d) Debit side of purchases account in General Ledger**
11. A cheque issued for payment to a customer will be recorded on which side of cashbook?
- a) Payment side**

- b) Receipt side
- c) On both sides
- d) None of these

12. Ledger folio in General Journal shows:

- a) Date
- b) Account name
- c) Account number
- d) Page number of ledger account**

13. Which of the following will have balance on credit side of trial balance?

- a) Sale and return inwards
- b) Cash and bank overdraft
- c) Bad debts and allowance for doubtful debts
- d) Sales and return outwards**

14. Which of the following statement is/are correct?

- (i) General ledger also includes income and expense accounts.
- (ii) General ledger only includes assets, liability, and capital accounts.
- a) Only (i) is correct**
- b) Only (ii) is correct
- c) Both are correct
- d) None is correct

15. Why chart of accounts is used?

- a) To ensure that all transactions are recognized in accordance with the requirements of business.**
- b) Internal check on mathematical accuracy of double entry book-keeping.
- c) To identify the errors.
- d) None of these.

16. Balance of which of the following groups of items would appear on opposite sides of a trial balance?

- a) Motor Vehicle and drawings
- b) Carriage in and carriage out
- c) Sales and return outwards
- d) Trade receivables and return outwards**

17. In an account, if credit side is less debit side, then the resulting balance is:

- a) Debit**
- b) Positive
- c) Negative
- d) Credit

18. Which two of the following would appear in trial balance?

- a) Gross profit
- b) Cash discount allowed**

- c) Trade discount
- d) Acc. Depreciation**

19. Which of the following statements are correct?

- (i) Sales account is part of sales ledger.
- (ii) Purchases return day book total is posted to debit of return outward a/c.
- a) Both
- b) Only (i)
- c) Only (ii)
- d) Neither is correct**

20. Contra asset account has what type of balance?

- a) Debit
- b) Credit**
- c) Can be both
- d) Nil balance

Ch – 4 Accruals and prepayments

1. Rent for 2021 paid in advance in 2020 and debit to rent expense account will affect:

- a) Net profit of 2020 and 2021 both years overstated
- b) Net profit of both years understated
- c) Net profit of 2021 understate and 2020 overstated
- d) Net profit of 2021 overstated and 2020 understated**

2. Total rent of Rs. 150,000 were received during the year ended 31 December 2019. In this respect, opening and closing balances are as under:

	31 Dec 2019	31 Dec 2018
	Rs.	Rs
Unearned Rent	16,000	10,000
Accrued Rent	13,000	17,000

What should be the rent income for the year ended 31 December 2019?

- a) Rs.144000
- b) Rs.140000**
- c) Rs 152000
- d) Rs.156000

3. On 1 May 2022, an entity hired a firm at an annual fee of Rs. 150,000 for maintaining accounting records. On 1 May 2023, the contract was renewed for a further one year at a revised annual fee of Rs. 210,000. The fee is paid quarterly in arrears on 31 July, 31 October, 31 January and 30 April each year. What figure should appear for fee in the financial statements for the year ended 31 December 2023?

Statement of Financial Position	Statement of Profit or Loss
a) Prepaid of Rs. 35,000	Expense of Rs. 190,000
b) Prepaid of Rs. 17,500	Expense of Rs. 180,000

Statement of Financial Position**Statement of Profit or Loss**c) **Accrual of Rs. 35,000****Expense of Rs. 190,000**

d) Accrual of Rs. 17,500

Expense of Rs. 180,000

4. An entity received an electricity bill for June 20X1. The bill will be paid in July 20X1. The year end is 30 June 20X1.

Which of the following entries will be recorded when the bill is paid in July 20X1?

a) Dr. Utilities Payable;**Cr. Cash**

b) Dr. Electricity Expense;

Cr. Utilities Payable

c) Dr. Electricity Expense;

Cr. Cash

d) Dr. Cash;

Cr. Utilities Payable

5. According to which concept, we should record expense when incurred:
- a) Cash basis
 - b) Business entity concept
 - c) Matching concept**
 - d) Materiality concept
6. Adjustment of accrued expense has effect:
- (i) On Statement of Comprehensive Income
 - (ii) On Statement of Financial Position
- a) On only (i)
 - b) On only (ii)
 - c) On Both**
 - d) No effect on both
7. What are outstanding Expenses?
- a) Expenses which are paid off in the current year but not incurred.
 - b) The necessary purchases that keep a business going from day-to-day.
 - c) Type of expenses that are due but has not yet been paid.**
 - d) None of the above
8. Mr. Yousuf, a tenant, pays annual rent of Rs. 120,000. Payment is made quarterly in advance on 1 January, 1 April, 1 July, and 1 October. Which of the following should be included in his accounts for the year ended 31 October 2022?
- a) Rs. 20,000 prepayment**
 - b) Rs. 20,000 accrual
 - c) Rs. 10,000 prepayment
 - d) Rs. 10,000 accrual
9. At the beginning of the year, i.e., 1 January 2023, there was accrued rent of Rs. 90,000. The annual rent is Rs. 600,000. The following payments were made during the year:
- 1 January 2023: Rs. 300,000
 - 1 May 2023: Rs. 150,000

- 1 September 2023: Rs. 180,000

What will be the amount of prepaid or accrued rent at the end of the year i.e., 31 December 2023?

- a) Accrued rent Rs. 120,000
- b) Prepaid rent Rs. 30,000
- c) Accrued rent Rs. 60,000**
- d) None of these

10. A process of accounting in which expenses are recorded when paid and income is recorded when received is known as:

- a) Cash basis**
- b) Accrual basis
- c) Matching principle
- d) Prudence principle

11. Which of the following is correct?

- (I) An accrual is expense relating to current year but paid in next year.
- (II) A prepaid is an expense relating to current year and paid in current year.

- a) Only I**
- b) Only II
- c) Both are correct
- d) Both incorrect

12. Which of the following statement(s) is/are correct?

- (i) Prepaid expenses are assets
- (ii) Prepayments are recorded in SOFP as well as in SOCI

- a) Only (i) is correct**
- b) Only (ii) is correct
- c) Both are correct
- d) None is correct

13. Unearned revenue is treated as:

- a) Liability in statement of financial position**
- b) Asset in statement of financial position
- c) Income in income statement
- d) Both a and c

14. Which of the following statement(s) is/are correct?

- (i) Early recording of expenses overstate current year's profit and late recording of expenses will understate the current year's profit.
- (ii) Early recording of revenues overstate current year's profit and late recording of income will understate the current year's profit.

- a) Only (i) is correct
- b) Only (ii) is correct**
- c) Both are correct
- d) None is correct

15. Adjustment of accrued expense has effect:
- (i) On Statement of Comprehensive Income
 - (ii) On Statement of Financial Position
- a) Only (i) is correct
 - b) Only (ii) is correct
 - c) Both are correct**
 - d) None is correct
16. Which of the following is not true?
- a) An accrual is an amount owing at the end of a period, a prepayment is an amount paid in advance
 - b) An accrual is a liability, and prepayment is an asset
 - c) An accrual is a liability, and prepayment is always a non-current asset**
 - d) An accrual is a current-liability and a prepayment is a current asset
17. Accrual basis records revenue when:
- a) Readily available
 - b) Contracted
 - c) Collected
 - d) Earned**
18. Which of the following statements are correct?
- (i) An accrual is expense of next year but paid in current year
 - (ii) A prepaid is current year expense not paid yet
- a) Statement (i) only
 - b) Statement (ii) only
 - c) Both
 - d) Neither**

Ch – 5 Bad and doubtful debts

1. The following data pertains to Alpha Traders (AT):

Particulars	Amount
Closing balance of trade debtors.	Rs. 1,160,000
Opening balance of allowance for doubtful debts.	Rs. 90,000
Debtors need to be written off.	Rs. 110,000

AT's policy is to maintain the allowance for doubtful debts @10%.

The closing balance of allowance for doubtful debts would be:

- a) Rs. 96,000
 - b) Rs. 107,000
 - c) Rs. 105,000**
 - d) Rs. 116,000
2. What is the double entry for decrease in allowance for doubtful debt.?

- a) **Dr. Allowance for doubtful debts; Cr. Doubtful debts**
b) Dr. Doubtful debts; Cr. Allowance for doubtful debts
c) Dr. Doubtful debts; Cr. Receivables
d) Dr. Receivables; Cr. Doubtful debts

3. Trial balance given with Trade receivables 250,000 and opening allowance Rs. 4,000. Bad debts to be write off Rs. 10,000

General allowance required 5%

What will be the amount of closing allowance?

- a) **Rs. 12,000**
b) Rs. 10,000
c) 15,500
d) 20,600
4. Which of the following best describes an allowance for doubtful debts?
a) Asset
b) Liability
c) **Contra-asset**
d) Expense
5. The receivables of XYZ Company at 31 December 20X1 amounted to Rs. 48,000. During the year, bad debts of Rs. 1,800 were identified and written off. Good receivables of Rs. 2,000 are not subject to allowance.

The company had an existing allowance for doubtful debts of 5% of receivables. At year end, management decided to increase the allowance to 10% of eligible receivables.

What will be the closing allowance for doubtful debts for the year?

- a) Rs. 4,800
b) Rs. 4,620
c) **Rs. 4,420**
d) Rs. 4,800
6. Which of the following is correct entry of bad debts recovered?
a) Dr: Bad debts expense
Cr: Cash
b) Dr: Bad debts recovered
Cr: Cash
c) Dr: Cash
Cr: Receivables
d) **Dr: Cash**
Cr: Bad debts Recovered

7. At 31 December 2021 an entity allowance for doubtful receivables amounted to Rs. 48,000 which was 5% of the receivables at that date. At 31 December 2022 receivables totalled Rs 1,032,000. It was decided to write off Rs 53,000 of debt as irrecoverable and based on past experience to keep the allowance for doubtful receivables at 5% of receivables.

What should be the charge in P/L for the year ended 31 December 2022 for bad and doubtful receivables?

- a) Rs 59,250
- b) Rs 53,950**
- c) Rs 49,400
- d) Rs 46,750

8. Maple Ltd. reported net receivables of Rs. 315,000 as at 30 June 2023, and Rs. 346,800 as at 30 June 2024. The allowance for doubtful debts increased from 5% to 7% during the year. Bad debts written off during the year ended 30 June 2024 amounted to Rs. 9,000.

How much was charged to the statement of comprehensive income in respect of bad and doubtful debts during the year ended 30 June 2024?

- a) Rs. 13,320
- b) Rs. 22,320
- c) Rs. 31,320
- d) Rs. 18,524**

9. Which of the following treatment is correct?

- a) Bad debts written off are charged to profit and loss and deducted from accounts receivables as allowance for doubtful debts
- b) Increase in allowance for doubtful debts is charged to profit and loss and closing balance of allowance for doubtful debts is deducted from accounts receivables**
- c) Bad debts written off are subtracted from receivables and net amount is charged as expense
- d) Bad debts written off and decrease in allowance are added and total amount is charged as expense

10. At 31 December 2023, receivables totalled Rs. 950,000 before adjustments:

- i. Rs. 25,000 of debts to be written off
- ii. A specific allowance of 70% is to be created against Rs. 100,000
- iii. A general allowance of 4% is to be made on the remaining receivables

What should be the allowance for doubtful receivables at 31 December 2023?

- a) Rs. 93,600
- b) Rs. 95,200
- c) Rs. 94,000
- d) Rs. 103,000**

11. Which of the following is correct entry of recovery of doubtful debts?

- a) Dr: Bad debts expense
Cr: Cash
- b) Dr: Cash
Cr: Receivables**
- c) Dr: Cash
Cr: Allowance for receivables

d) Dr: Cash
Cr: Bad debts

12. Which of the following is correct?

1. The good debts do not require any special accounting treatment unlike bad and doubtful debts.
2. The doubtful debts must stay in the accounting records so that the business continues to chase payments.

a) Both are correct

b) None is correct

c) Only 1

d) Only 2

Ch – 6 Property, plant and equipment

1. Asset of having cost of Rs.100 million and Rs.15 million residual value and 5 years useful life and straight line depreciation method to be used.

Due to COVID-19 asset was idle for one year.

NBV at end of 3rd year to be calculated?

a) Rs. 49 million

b) Rs. 66 million

c) Rs. 34 million

d) Rs. 51 million

2. An asset having a carrying amount of Rs. 3.2 million was sold for Rs. 2.5 million. What will be the overall effect on total assets and capital of the business?

a) Assets decrease by Rs. 0.7 million and capital decreases by Rs. 0.7 million

b) Assets decrease by Rs. 3.2 million and capital decreases by Rs. 0.7 million

c) Assets decrease by Rs. 0.7 million and capital remains unchanged

d) Assets decrease by Rs. 2.5 million and capital decreases by Rs. 2.5 million

3. Which shall be included in the cost of vehicle:

a) Cost of new rims

b) Cost of comprehensive insurance;

c) Vehicle token tax

d) Refundable income tax

4. A company purchased a manufacturing plant for Rs. 25 million having residual value of Rs. 3 million. The plant is depreciated at 20% per annum using the reducing balance method. What would be the NBV of the plant after the third year?

a) Rs. 11.8 million

b) Rs. 14.3 million

c) Rs. 12.8 million

d) Rs. 10 million

5. Which of the following statements is/are correct?

(i) All items of property plant equipment should be depreciated

(ii) Depreciation is commenced in straight line method when asset is available for use.

a) Both statements are correct

b) Only statement (i) is correct

c) Only statement (ii) is correct

d) Both statements are not correct

6. A machine was purchased in May 20X0 for Rs. 4,800,000. The machine has an estimated residual value of Rs. 200,000 and total estimated production of 780,000 units. Depreciation is calculated using the units of production method.

Actual production was:

48,000 units in 20X0

52,000 units in 20X1

What will be the accumulated depreciation at the end of 20X1?

a) Rs. 460,000

b) Rs. 590,000

c) Rs. 650,000

d) Rs. 720,000

7. Which one of the following statements is correct?

1. Annual depreciation under Reducing Balance Method (RBM) and Sum of Digits Method (SODM) is higher in the early years.

2. Under the Straight Line Method (SLM), a constant rate of depreciation is applied each year.

a) Both statements are correct

b) Both statements are incorrect

c) Statement 1 is correct and statement 2 is incorrect

d) Statement 1 is incorrect and statement 2 is correct

8. An item of plant was purchased for Rs. 2,000,000 and is depreciated at 25% per annum using the reducing balance method.

What will be the residual (carrying) value of the asset at the end of its useful life of 5 years?

a) Rs. 0

b) Rs. 400,000

c) Rs. 474,609

d) Rs. 632,813

9. A machine was purchased for Rs. 25 million on 1 July 20X1. The estimated residual value at acquisition was Rs. 2 million. The machine was depreciated at 15% per annum on the reducing balance method for the first two years.

At the beginning of Year 3 (i.e., on 1 July 20X3), management revised its estimates and decided to depreciate the asset using the straight line method over the remaining useful life of 5 years, with a revised residual value of Rs. 3 million.

The net book value (NBV) at the end of Year 3 is approximately:

- a) **Rs. 15.1 million**
 - b) Rs. 12.1 million
 - c) Rs. 11.5 million
 - d) Rs. 14.5 million
10. A motor vehicle was purchased for Rs. 1,395,000 on 1 July 2018. It has an estimated useful life of 5 years and a residual value of Rs. 255,000. If the sum of digits method of depreciation is used, what will be the carrying amount of motor vehicle as at 30 June 2020?
- a) Rs. 303,000
 - b) Rs. 558,000
 - c) Rs. 456,000
 - d) **Rs. 711,000**
11. The expected disposal value of the asset (after deducting disposal costs) at the end of its expected useful life is called:
- a) **Residual value**
 - b) Net book value
 - c) Depreciation
 - d) Substance over form
12. An asset was purchased on 1 July 2020 for Rs. 1,200,000. The company applies reducing balance depreciation at 20% per annum. What will be the net book value of the asset at 31 December 2023, assuming year-end accounts and proportional depreciation in the year of purchase?
- a) **Rs. 552,960**
 - b) Rs. 655,360
 - c) Rs. 614,656
 - d) Rs. 491,520
13. If the net book value of an asset after charging first year depreciation is Rs. 6.4 million at a depreciation rate of 20% per annum using the reducing balance method, what will be the depreciation for year 1 and year 2?
- a) **Rs. 1.60m and Rs. 1.28m**
 - b) Rs. 2.00m and Rs. 1.60m
 - c) Rs. 1.28m and Rs. 1.02m
 - d) Rs. 1.60m and Rs. 1.02m
14. Which of the following should be treated as capital expenditure?
- a) Replacement of broken ceiling tiles in the office
 - b) Cost of advertising a new product line

c) Installation cost of a new machinery

d) Payment of monthly utility bills

15. At year end, the balance on the Accumulated Depreciation Account is:

a) deducted from cost the asset in the statement of financial position

b) Transferred to Profit and Loss

c) Transferred to the Asset

d) Transferred to Depreciation

16. Which of the following is NOT an asset that falls under the scope of IAS 16 Property, Plant and Equipment?

a) Tangible assets

b) Assets held for the production or supply of goods or services

c) Assets held for sale in the normal course of business

d) Assets expected to be used for more than one period

17. In the year 2022, a company acquired equipment with a useful life of 8 years. Which of the following best represents the residual value of this equipment in 2022?

a) Amount which can be currently obtained from disposal of the machine in present condition

b) Amount which can be currently obtained from disposal of a 8-year-old similar machine

c) Amount which can be obtained in 2030 from disposal of 8 years old similar machine

d) None of the above

18. A company purchased equipment on 1 January 2020 for Rs. 20 million with a residual value of Rs. 4 million. It was depreciated using the Straight-Line method over 5 years. On 1 January 2022, the company revised its depreciation policy to the Reducing Balance method at 30% per annum. What will be the net book value of the equipment at the end of 2022?

a) Rs. 9.52 million

b) Rs. 10.24 million

c) Rs. 9.36 million

d) Rs. 11.00 million

Ch – 7 Inventory

1. Which of the following accounts should be **debited** to record a **credit sale of inventory under the perpetual system**?

a) Only Trade receivable

b) Trade receivable and inventory

c) Trade receivable, cost of goods sold and inventory

d) Trade receivable and cost of goods sold

2. Which one is not a part of perpetual inventory system

a) Purchase account

b) Sales account

c) Inventory account

d) Cost of sales

3. Which of the following statements is/are correct?
- (i) While calculating NRV we exclude import duties from estimated selling price
 - (ii) While calculating NRV we exclude carriage inward from estimated selling price
- a) Both statements are correct**
- b) Only statement (i) is correct
 - c) Only statement (ii) is correct
 - d) Both statements are not correct
4. Which TWO of the following have no entry in periodic inventory system?
- a) Normal loss**
- b) Closing inventory
 - c) Write down of inventory**
 - d) Abnormal loss
5. Which of the following accounts should be debited to record credit sale of inventory under perpetual system?
- a) Only Accounts receivable
 - b) Accounts receivable and inventory
 - c) Accounts receivable, cost of sales and inventory
 - d) Accounts receivable and cost of sales**
6. Which of the following account is not prepared during the year in periodic inventory system?
- a) Sales
 - b) Purchase return
 - c) Cost of sales**
 - d) Purchases
7. Ali has started a trading business. He deals in goods where prices are usually rising over the time. Which of the following statement is correct regarding selection of FIFO and average method in this case?
- a) FIFO will result in higher reported profit**
- b) Average method will give higher profit
 - c) Avg. method will lead to higher cost of ending stock
 - d) Profit will be unaffected by the selection of inventory method
8. When market prices are declining, which method gives less profit?
- a) FIFO**
- b) Weighted average
 - c) Both of these
 - d) None of these
9. What is the entry of goods given in Charity under periodic system?
- a) Debit: charity expense Credit: Purchases**
- b) Debit: charity expense Credit: inventory

- c) Debit: charity expense Credit: supplier
- d) Debit: charity expense Credit: purchases return

10. Which of the following statements is/are correct?

- (i) Inventory is measured at lower of cost or NRV.
- (ii) Inventories include raw material, work-in-progress, finished goods and supplies
- a) Only statement 1 is correct
- b) Only statement 2 is correct
- c) both statements are correct**
- d) none is correct

11. **The costs of goods that have been sold to the customers are treated as in the financial statements:**

- a) Inventory
- b) Expense**
- c) Income
- d) Debt

12. Which one of the following classifications is correct, when we buy a car?

- a) Inventory, if we are dealing in sale and purchase of cars.**
- b) Fixed assets, if we buy car for personal use.
- c) Fixed assets, if we buy car for going to office
- d) Inventory, if we purchase car for business employees.

13. In case of deflationary economy (when prices are decreasing), In which of the following method inventory value will be higher?

- a) FIFO
- b) AVCO**
- c) Both a and b
- d) None of these

14. Which of the following statements is/are correct?

- (i) Standard cost method takes into account normal levels of materials, supplies, labour, efficiency and capacity utilization.
- (ii) Standard cost is regularly reviewed and, if necessary, revised in the light of current conditions.
- a) Only statement 1 is correct
- b) Only statement 2 is correct
- c) both statements are correct**
- d) none is correct

15. Alpha Traders (AT) has closing inventory of Rs. 20,000 at 31 December 2022 out of which 12 units are damaged having cost Rs. 16,000 and could be sold at Rs. 22,000 after bearing Rs. 5,000 repairing cost.

The value of inventory as at 31 December 2022 should be:

- a) Rs. 16,000
- b) Rs. 22,000

- c) Rs. 18,000
- d) Rs. 20,000**

16. Which of the following statements are correct?

- (i) Specific identification is needed for inventories not ordinarily interchangeable.
- (ii) Retail method is used in retail industry for large rapidly changing inventories.

a) Both statements are correct

- b) Only (i)
- c) Only (ii)
- d) Neither

17. Write down of inventories to NRV is recognized as:

- a) Deferred expense, matched later
- b) Expense in subsequent period
- c) Expense in the period in which write down occurs**
- d) Current liability

Ch – 8 Correction of errors

1. Sales return of Rs. 2,000 was wrongly entered in Purchases account. What will be the rectifying entry?

- | | |
|-----------------------------------|-------------------------------|
| a) Dr. Sales Return 2,000; | Cr. Purchases 2,000 |
| b) Dr. Purchases 2,000 | Cr. Sales Return 2,000 |
| c) Dr. Debtor 2,000 | Cr. Purchases 2,000 |
| d) Dr. Sales 2,000 | Cr. Purchases 2,000 |

2. Purchase of Rs. 254,000 was recorded as Rs. 425,000 in the purchase book. What should be the rectifying journal entry?

- a) Dr. Payables 171,000**
Cr. Purchases 171,000
- b) Dr. Purchases 171,000
Cr. Payables 171,000
- c) Dr. Purchases 425,000
Cr. Payables 425,000
- d) Dr. Payables 254,000
Cr. Purchases 254,000

3. A purchase of Rs. 1,100 was incorrectly recorded in the purchases account as Rs. 1,000, while the accounts payable was recorded correctly. The error was discovered after the trial balance had been prepared and a suspense account had been opened.

Which of the following journal entries will correctly rectify the error?

- a) Dr Suspense 100
Cr Purchases 100
- b) Dr Purchases 100**
Cr Suspense 100

- c) Dr Purchases 1,100
 Cr Payables 1,100
- d) Dr Payables 100
 Cr Purchases 100

4. A credit sale is wrongly recorded as a cash sale. The entity also maintains a general provision for doubtful debts based on the balance of trade receivables.

What will be the effect of this error on profit?

- a) **Understated**
 - b) Overstated
 - c) Unchanged
 - d) Cannot be determined
5. A purchase of Rs. 254,000 was wrongly recorded as Rs. 425,400 in the purchases book. Which journal entry is required to rectify this error?
- a) Dr Purchases Rs. 171,400
 Cr Trade Payables Rs. 171,400
 - b) **Dr Trade Payables Rs. 171,400**
 Cr Purchases Rs. 171,400
 - c) Dr Purchases Rs. 425,400
 Cr Trade Payables Rs. 254,000
 - d) Dr Trade Payables Rs. 254,000
 Cr Purchases Rs. 425,400

Ch – 9 Bank Reconciliations

1. Which of the following statement is / are a business transaction
- (i) bank set limit of bank over draft to 10 million
 - (ii) bank charged interest on overdraft.
- a) (i) is correct
 - b) **(ii) is correct**
 - c) Both are correct
 - d) None is correct
2. Determine the balance as per bank statement using the following information:
- | | Rupees |
|---|--------|
| Balance as per cash book. | 49100 |
| Cheque received and deposited into the bank,
but not yet credited in the bank statement. | 4600 |
| Unpresented cheques. | 6300 |
| Credit transfers appearing in the bank statement
but not entered in the cashbook. | 3400 |
| a) Rs.52500 | |

b) **Rs.54200**

c) Rs.58800

d) Rs.50800

3. The following information pertains to XYZ Limited:

Description	Rupees
Balance as per cash book (credit)	26,000
Balance as per bank statement (credit)	6,500
Unpresented cheques	45,500

The only reconciling item left is cheques banked but not yet credited in the bank statement.

What is the total of such cheques?

a) **Rs. 13,000**

b) Rs. 78,000

c) Rs. 65,000

d) Rs. 26,000

4. Unpresented cheques can also be referred to as

a) Uncredited cheque

b) Uncollected cheques

c) **Outstanding cheque**

d) Unidentified cheque.

5. Which TWO of the following statements are correct?

a) Bank Reconciliation Statement is prepared at the end of the accounting year only

b) **Debit balance of Cash Book is a favorable balance**

c) Bank Reconciliation Statement can be started with cash book balance only

d) **Debit side of Cash Book is compared with credit side of Bank Statement and vice versa**

6. The following information pertains to XYZ Limited:

Description	Rupees
Balance as per cash book (credit)	26,000
Balance as per bank statement (credit)	6,500
Unpresented cheques	45,500

The only reconciling item left is some cheques left banked and not yet credited in the bank statements.

What is the total of cheques banked and not yet credited?

Select the most appropriate answer:

- a) Rs. 13,000
- b) Rs. 78,000
- c) **Rs. 65,000**
- d) Rs. 26,000

7. Which of the following reasons require an entry in the bank account in your general ledger?
- (I) A cheque from one of your customers amounting to Rs. 24,000 was returned by the bank as unpaid, as the customer has gone bankrupt.
- (II) A cheque amounting to Rs. 18,000 in the name of your brother was erroneously credited by the bank in your account.

Select the most appropriate answer:

- a) **Only (I) is correct**
 - b) None is correct
 - c) Both are correct
 - d) Only (II) is correct
8. How would dishonour of customer's cheque be recorded in cash book?
- a) Recorded on receipt as well as payment side
 - b) Not recorded in cash book
 - c) **Recorded on payment side only**
 - d) Recorded on receipt side only
9. In cash book, bank charges of Rs. 50,000 was not recorded. What will be the correct cash book adjustment?
- a) **It will be credited in cash book**
 - b) It will be debited in cash book
 - c) No adjustment needed in the cash book
 - d) Charges will be added to the cash book balance
10. How do we handle "Deposit in transit" in bank reconciliation? (*choose any two options*)
- a) **Added to Bank Statement Balance**
 - b) Subtracted from Bank Statement Balance
 - c) **Subtracted from the Cash Book Balance**
 - d) Added to Cashbook Balance
11. Which of the following statement is correct?
- a) Credit balance as per bank statement means a bank overdraft
 - b) **Debit balance as per bank statement means a bank overdraft**
 - c) Debit balance as per cash book means bank overdraft
 - d) Credit balance as per cash book means an asset

Ch – 10 Preparation of financial statements

1. Alpha firm has three partners **A, B, and C**. The capital accounts at the beginning of the year and drawings during the year are as follows:

Partner	Capital (Rs.)	Drawings (Rs.)
A	200,000	40,000
B	400,000	50,000
C	320,000	80,000

Profit / Loss Sharing Agreement:

The partnership agreement provides the following:

Partner **A** is entitled to a salary of **Rs. 34,000** per annum.

Partner **C** is entitled to a salary of **Rs. 30,000** per annum.

Interest on capital is allowed at **5% per annum**.

Interest on drawings is charged at **7% per annum**.

The remaining profit or loss is shared among partners **A, B, and C** in the ratio **2 : 2 : 1**.

Required

Calculate the total share of profit of each partner if the profit for the year amounted to Rs. 196,000.

a) **A: Rs. 80,360; B: Rs. 55,660; C: Rs. 59,980**

b) A: Rs. 78,400; B: Rs. 54,400; C: Rs. 63,200

c) A: Rs. 78,400; B: Rs. 76,400; C: Rs. 39,200

d) A: Rs. 70,400; B: Rs. 72,400; C: Rs. 30,200

2. Alpha Traders has two partners A and B. The following information relates to the year ended 30 June 20X4:

- Capital: A Rs. 200,000, B Rs. 300,000
- Drawings for the year: A Rs. 40,000, B Rs. 60,000
- Interest on capital: 10% p.a.
- Interest on drawings: 5% p.a.
- Net loss for the year (before appropriations): Rs. 102,500
- Annual salary to A: Rs. 30,000
- Bonus to B: 10% of net profit (if any)
- Profit/Loss sharing ratio: 3 : 2 (A : B)

Required: What is B's share of residual loss for the year?

a) Rs. 44,000

b) **Rs. 71,000**

c) Rs. 47,000

d) Rs. 75,000

3. A partnership has three partners with the following capital balances:

A = Rs. 500,000

B = Rs. 300,000

C = Rs. 200,000

Net profit for the year is Rs. 90,000.

Additional information:

Salary: A = Rs. 30,000, B = Rs. 20,000

Bonus to C = Rs. 20,000

Remaining profit is shared in the ratio of capital balances.

What will be the final share of profit of A and C?

a) A = Rs. 40,000 and C = Rs. 25,000

b) A = Rs. 45,000 and C = Rs. 28,000

c) A = Rs. 50,000 and C = Rs. 30,000

d) A = Rs. 35,000 and C = Rs. 25,000

4. The following information relates to a partnership firm:

Partners' Capital and Drawings:

A: Capital Rs. 200,000, Drawings Rs. 40,000

B: Capital Rs. 300,000, Drawings Rs. 60,000

The net loss for the year is Rs. 102,500.

The partnership agreement provides the following:

Interest on capital is allowed at 10% per annum

Interest on drawings is charged at 5% per annum

Partner A is entitled to an annual salary of Rs. 20,000

Partner A is entitled to a 10% bonus on profit (if any)

Remaining profit or loss is shared between partners A and B in the ratio 3 : 2

Required: Calculate the share of loss for Partner B.

a) Rs. 41,000

b) Rs. 62,000

c) Rs. 67,000

d) Rs. 82,500

5. Which one of the following statements is correct?

1. Return inward increases gross profit

2. Increase in salary expense decreases gross profit

a) Both statements are correct

b) Both statements are incorrect

c) Statement 1 is correct and statement 2 is incorrect

d) Statement 1 is incorrect and statement 2 is correct

6. Which of the following statements regarding partnership is/are correct?

1. If there is no agreement regarding profit sharing, profits are distributed according to partners' capital balances.

2. If a partner dies, the partnership agreement comes to an end.
- a) Both statements are correct
 - b) Both statements are incorrect
 - c) Statement 1 is correct and statement 2 is incorrect
 - d) **Statement 1 is incorrect and statement 2 is correct**
-

PRC – 01 Fundamentals of Accounting

Model Paper MCQs with suggested solution (Excluding Final Account Question)

1. Which TWO of the following are included in cost of inventory?
- a) **Fixed manufacturing overheads**
 - b) **Normal wastage of material**
 - c) Selling cost
 - d) Recoverable taxes paid on purchase
2. If a property, plant and equipment remains idle for the whole year, the depreciation expense will be NIL under:
- a) All of these methods
 - b) **Units of production method**
 - c) Reducing balance method
 - d) Straight line method
3. Which of the following does not require a journal entry in periodic inventory method?
- a) **Normal loss**
 - b) Goods returned by a supplier
 - c) Abnormal loss
 - d) Closing inventory
4. An entity provides depreciation at 10% reducing balance. Machines purchased: A Rs.3,000,000 (1 Jan 20X0), B Rs.2,000,000 (1 Apr 20X1), C Rs.4,000,000 (1 Jul 20X2). What is depreciation for 20X2?
- a) Rs.700,000
 - b) Rs.600,000

c) Rs.900,000

d) Rs.628,000

5. Which of the following cost models is NOT permitted under IAS 2?

a) Weighted average

b) First in First out

c) Last in First out

d) Actual cost

6. Inventory purchased for Rs.1,800 and freight Rs.155. It will be sold at 15% margin after freight out Rs.200 and packing Rs.150. At which value should inventory be carried?

a) Rs.2,300

b) Rs.1,950

c) Rs.1,800

d) Rs.1,955

7. A motor vehicle was purchased for Rs. 1,395,000 on 1 July 20X0. It has an estimated useful life of 5 years and a residual value of Rs. 255,000.

If the sum-of-the-digits method of depreciation is used, what will be the carrying amount of the motor vehicle as at 30 June 20X2?

a) Rs. 711,000

b) Rs. 558,000

c) Rs. 456,000

d) Rs. 303,000

8. Which TWO costs cannot be included in cost of constructing own office building?

a) Hire of plant and machinery for site

b) Additional design work due to design error

c) Proportion of general administration costs

d) Construction materials

9. During the year 20X0, an entity purchased a machine for Rs. 20 million to be used for 6 years. Which of the following would represent the residual value of this machine in 20X0?

a) Rs.7m obtainable in future from disposal of 6-year old similar machine

b) Rs.4m obtainable now from disposal of 6-year old similar machine

c) Rs.18m obtainable in future from disposal in present condition

d) Rs.15m obtainable now from disposal in present condition

10. Ali has started a trading business. He deals in goods where prices are usually rising over time. Which of the following statements is correct regarding the selection of the FIFO or Average method in this case?

a) Average method leads to higher ending inventory

b) Average method gives more accurate profit

c) FIFO results in lower profits

d) Profit unaffected by inventory method

11. Dishonour of customer's cheque should be recorded in:

a) Petty cash book

b) Sales day book

c) General journal

d) Cash book

12. On 4 August 20X1, goods were sold on credit for Rs. 125,000 with credit terms of 3/10, n/20. On 8 August 20X1, goods of Rs. 25,000 were returned by the buyer.

How much should the seller expect to receive if the buyer pays on 12 August 20X1?

a) Rs.97,000

b) Rs.125,000

c) Rs.100,000

d) Rs.121,250

13. Which TWO would be recorded in general journal?

a) Increase in provision for doubtful debts

b) Write-off of receivable

c) Receipt of written-off balance

d) Advance from customer

14. Prudence concept prescribes:

a) Overstate revenue

b) Maximize assets

c) Ignore expenses

d) Recognize potential expenses and not overstate revenues

15. Total assets remain unchanged as a result of:

- a) Wages paid in cash
- b) Supplier paid by cheque
- c) Non-current asset purchased on credit

d) Non-current asset purchased on cash

16. An entity maintains a petty cash book under the imprest system. The imprest amount is Rs. 5,000. During a month, payments totaling Rs. 3,000 were made. How much amount will be reimbursed at the end of the month?

a) Rs.3,000

- b) Rs.8,000
- c) Rs.2,000
- d) Rs.5,000

17. A business commenced with capital in cash of Rs. 150,000. Inventory of Rs. 100,000 was purchased for cash and half of the inventory was sold at markup of 20% on credit. Furniture of Rs. 40,000 was purchased on credit.

What will be the accounting equation (Assets – liabilities = Capital) after these transactions?

- a) Rs. 150,000 – Rs. 40,000 = Rs. 110,000
- b) Rs. 190,000 – Rs. 40,000 = Rs. 150,000
- c) Rs. 200,000 – Rs. 40,000 = Rs. 160,000**
- d) Rs. 160,000 – Rs. 40,000 = Rs. 120,000

18. Settlement discount received is recorded as:

- a) Other income
- b) Reduction of revenue
- c) Operating expense

d) Reduction of cost of purchases

19. Income arises from increase in assets or decrease in liabilities resulting in:

- a) Decrease in equity including owner contributions
- b) Decrease in equity excluding owner contributions
- c) Increase in equity including owner contributions
- d) Increase in equity excluding owner contributions**

20. Which document requires double entry?

- a) Delivery note
- b) Statement of account
- c) Sales invoice**
- d) Sales order

21. Which TWO statements about trial balance are correct?

- a) Opening and closing stock appear in trial balance
- b) Trial balance is not a book of prime entry**
- c) Return inward has debit balance**
- d) Every credit balance represents income

22. Purchases account is part of:

- a) Payables ledger
- b) General ledger**
- c) Sales ledger
- d) Purchases ledger

23. Which of the following statement(s) is/are correct?

- (i) Book-keeping is the process of interpreting financial transactions in the accounting records.
- (ii) Accounting is the process of recording, classifying, summarizing the information of financial nature and interpreting the results thereof.
- a) Both correct
- b) Only statement (i) correct
- c) None correct
- d) Only statement (ii) correct**

24. Which TWO appear in analysis of expenses by nature?

- a) Administrative expenses
- b) Salaries expense**
- c) Distribution expense
- d) Finance cost**

26. Alpha firm has three partners A, B, and C. The capital accounts at the beginning of the year and drawings accounts for the year are as follows:

Partners	Capitals (Rs.)	Drawings (Rs.)
A	200,000	40,000
B	400,000	50,000
C	320,000	80,000

Profit/loss sharing agreement:

- A and C are entitled to receive salary of Rs. 34,000 and Rs. 30,000 annually respectively.
- Interest on capital is allowed @ 5% p.a.
- Interest is charged on drawings @ 7% p.a.
- Remaining profit or loss is shared in the ratio of 2 : 2 : 1

Required:

Calculate the total share of profit of each partner, if the profit for the year amounted to Rs. 196,000.

a) A:80,360 B:55,660 C:59,980

b) A:78,400 B:54,400 C:63,200

c) A:78,400 B:78,400 C:39,200

d) A:86,800 B:52,800 C:56,400

27. Ali determines at year end that salaries paid during the year include Rs. 10,000 in advance. What is the correct year-end adjustment for advance salary to be made?

a) Debit salaries by Rs. 10,000 and credit accrued salaries by Rs. 10,000

b) Debit prepaid salaries by Rs. 10,000 and credit salaries expense by Rs. 10,000

c) Debit salaries by Rs. 10,000 and credit prepaid salaries by Rs. 10,000

d) No entry is required

28. Determine the balance as per bank statement using the following information:

Description	Rupees
Balance as per cash book	49,100
Cheques received and deposited into the bank but not yet credited in the bank statement	4,600
Unpresented cheques	6,300
Credit transfers appearing in the bank statement but not entered in the cash book	3,400

a) Rs.50,800

b) Rs.54,200

c) Rs.58,800

d) Rs.52,500

29. A return inward of Rs. 180 has been wrongly recorded as carriage inwards, and a repair expense of Rs. 250 was wrongly debited to salaries account.

What is the impact on net profit after correcting these errors?

a) Rs.250 decrease

b) Rs.70 decrease

c) Nil

d) Rs.180 decrease

30. Interest expense of Rs. 100 has been wrongly debited to stationery expense.

What entry is required to correct the error?

a) Debit Suspense Account Rs. 100; Debit Interest Expense Rs. 100; Credit Stationery Expense Rs. 200

b) Debit Suspense Account Rs. 100; Credit Stationery Expense Rs. 100

c) Debit Interest Expense Rs. 100; Credit Suspense Account Rs. 100

d) Debit Interest Expense Rs. 100; Credit Stationery Expense Rs. 100

31. For reconciling bank balances, unpresented cheques should be:

a) Deducted from bank statement or added to cash book

b) Deducted from bank statement and added to cash book

c) Added to bank statement and deducted from cash book

d) Added to bank statement or deducted from cash book

32. An entity received an electricity bill for the month of June 20X0.

The bill will be paid on 10 July 20X0. The entity's financial year ends on 30 June.

How would the payment be recorded?

a) Debit Electricity Expense and credit Cash

b) Debit Electricity Expense and credit Utilities Payable

c) Debit Utilities Payable and credit Cash

d) Debit Utilities Payable and credit Electricity Expense

33. At 31 December 20X1, receivables totaled Rs. 785,000 before making the following adjustments:

- It was decided to write off Rs. 20,000 of debts as irrecoverable and create a specific allowance of 80% against balances of Rs. 75,000.
- General allowance for receivables is to be maintained at 5% of receivables.

Allowance for doubtful receivables as at 31 December 20X0 amounted to Rs. 31,000.

What should be the total allowance for doubtful receivables as at 31 December 20X1?

a) Rs. 109,500

b) Rs. 110,500

c) Rs. 94,500

d) Rs. 95,500

34. A suspense account was opened when a trial balance failed to agree. The following errors were discovered afterwards:

(i) A payment of Rs. 5,000 to a supplier was credited to his account.

(ii) A return outward of Rs. 400 was wrongly debited to return inwards account.

(iii) Payment for establishment of petty cash fund by Rs. 1,000 was only credited to bank account.

At what amount would the suspense account have been created before correction of these errors?

a) Rs. 10,200 debit

b) Rs. 5,400 debit

c) Rs. 5,400 credit

d) Rs. 10,200 credit

35. Consider the following statements:

(I) Higher closing prepaid balance than previous year means that payment for the year exceeds the expense for the year.

(II) Higher closing accrued income balance than previous year means that receipt for the year exceeds the income for the year.

Which of the above statement(s) is/are correct?

a) Both are correct

b) Only (I) is correct

c) Only (II) is correct

d) None is correct

36. At 31 December 20X0, an entity's allowance for doubtful receivables amounted to Rs. 48,000, which was 5% of the receivables at that date. At 31 December 20X1, receivables totaled Rs. 1,085,000.

It was decided to write off Rs. 53,000 of debts as irrecoverable and, based on past experience, to keep the allowance for doubtful receivables at 5% of receivables.

What should be the charge in the statement of profit or loss for the year ended 31 December 20X1 for bad and doubtful receivables expense?

a) Rs. 56,600

b) Rs. 46,750

c) Rs. 59,250

d) Rs. 49,400

37. The bank column of a cash book showed a credit balance of Rs. 8,000.

There were unpresented cheques amounting to Rs. 2,500.

The bank statement showed bank charges of Rs. 900, which were not recorded in the cash book.

What is the balance on the bank statement?

a) Rs. 8,900 overdraft

b) Rs. 6,400 overdraft

c) Rs. 8,900 normal

d) Rs. 6,400 normal

38. Treating revenue expenditure as capital expenditure is:

a) Compensating error

b) Error of principle

c) Error of omission

d) Error of commission

39. On 1 February 20X9, a loan of Rs. 6,000,000 was taken from a bank for acquisition of an office building. A portion of the building was rented out on 1 August 20X9 at a monthly rent of Rs. 45,000. Interest is payable at 15% per annum on 31 January each year and rent is received half yearly in advance.

What amounts of interest payable and unearned rent should be shown in the statement of financial position as at 31 December 20X9?

- a) Interest payable Rs. 900,000; Unearned rent Rs. 270,000
- b) Interest payable Rs. 450,000; Unearned rent Rs. 45,000
- c) Interest payable Rs. 825,000; Unearned rent Rs. 45,000**
- d) Interest payable Rs. 825,000; Unearned rent Rs. 250,000

40. What is the purpose of maintaining an allowance for doubtful debts account?

- a) Records irrecoverable debts without taking them out of the books of an entity
 - b) Estimate future irrecoverable debts
 - c) Matches the estimated cost of future irrecoverable debts against the revenue earned in giving rise to the potential irrecoverable debts**
 - d) Records the expense of irrecoverable debts
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